



OFFERING MEMORANDUM - VALUE-ADD INVESTMENT OPPORTUNITY

6410-6578 FM 1960 W, Houston, TX 77069

partners

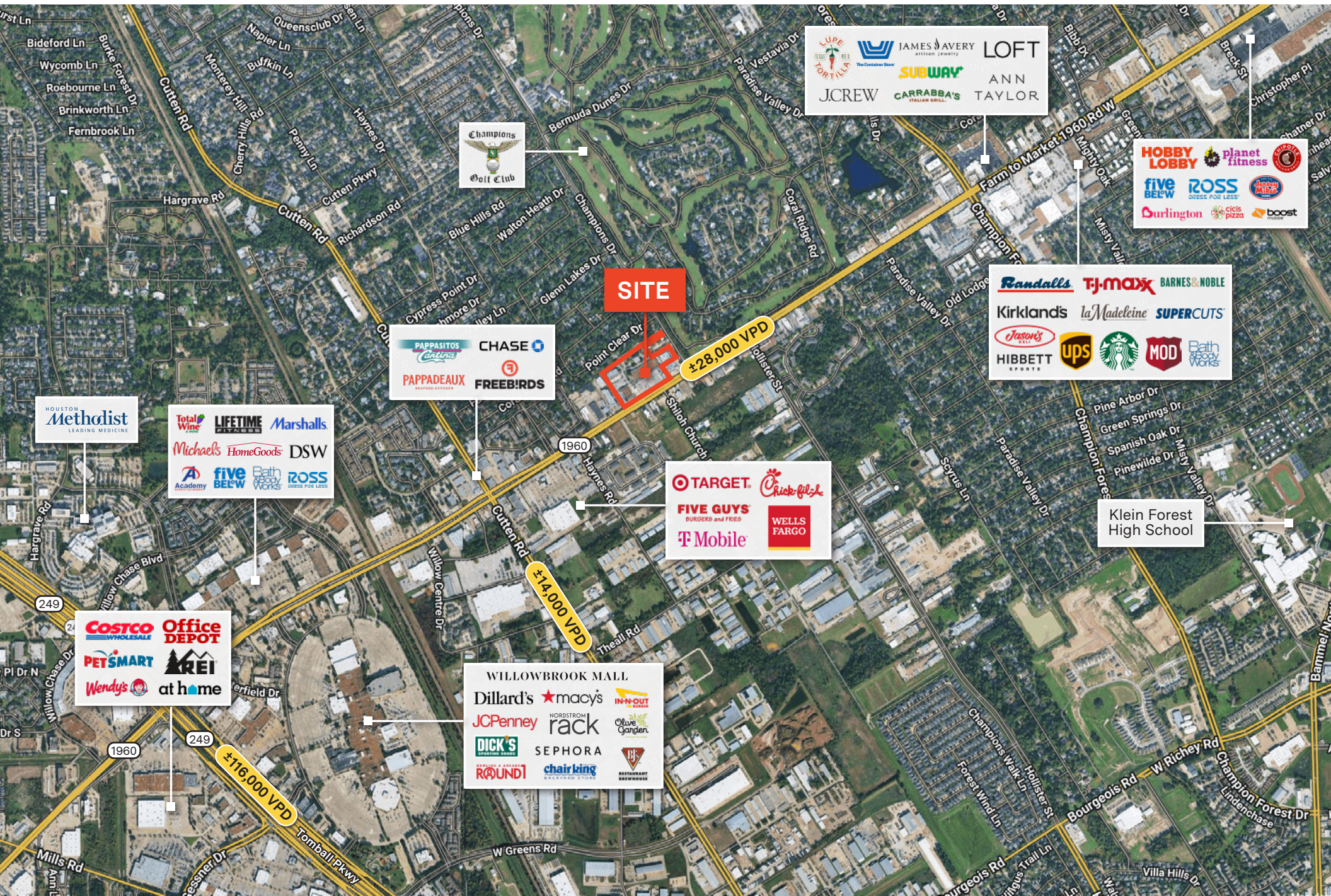
Executive Summary

6410-6578 FM 1960 Rd, Houston, TX 77069

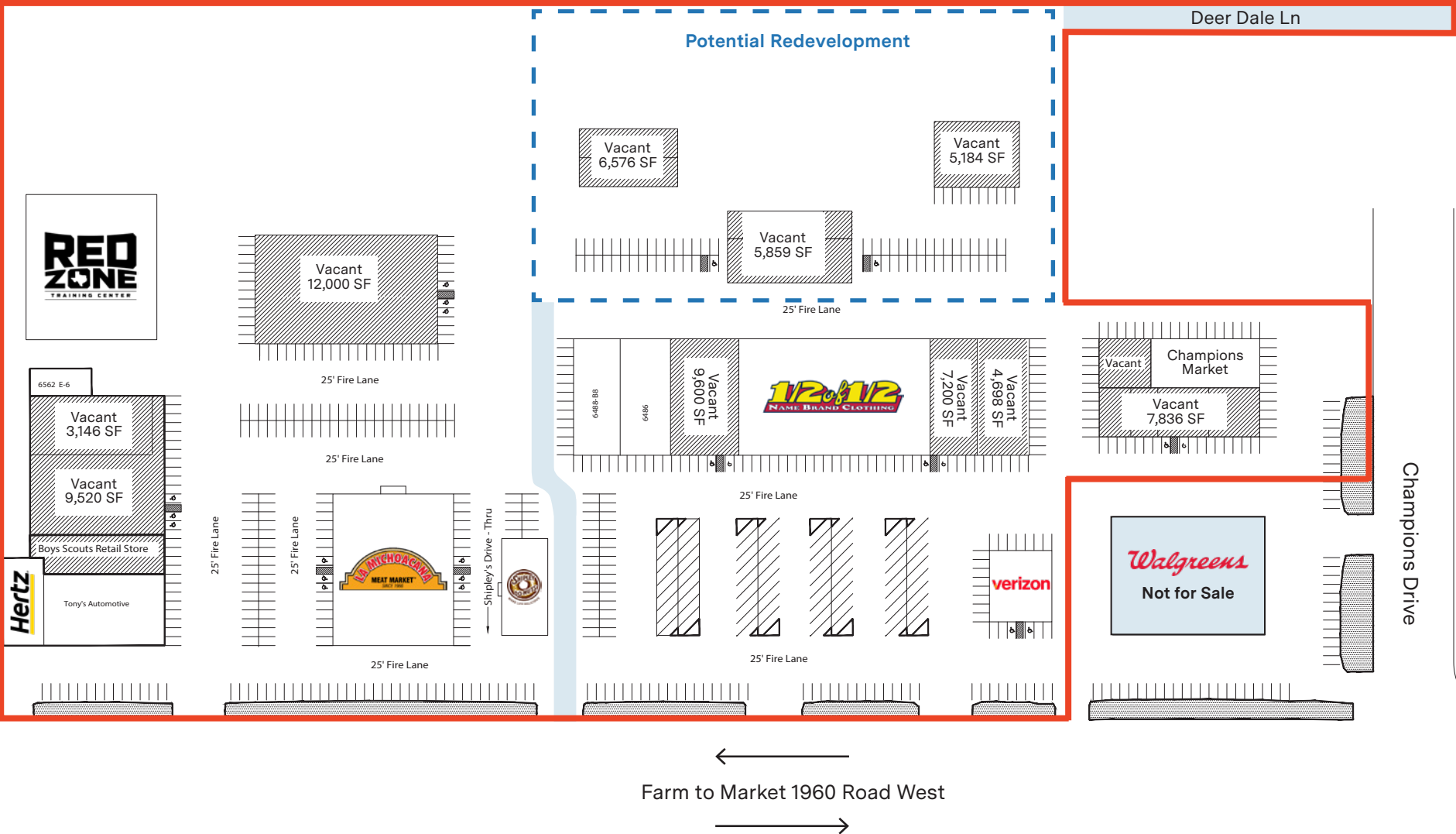
Gross Leaseable Area	136,738 SF
Lot Size	13.79 AC
Year Built	1970/1973
Occupancy	47.4%
Vacancy	52.6%
Year-1 NOI	\$434,374
Price	\$13,400,000
Price/SF	\$98.00
NNN	\$3.99
CAM	\$1.80
Tax	\$1.58
Insurance	\$0.45
Management Fee	\$0.16



Location Overview



Site Plan



Rent Roll

Suite	Tenant	Sq Ft	% Occupied	% Vacant	Start	End	Annual Rent	PSF	Escalation Date	Escalation Amount	Options	Lease Type
6424 A-1	Champions Mart	3,588	2.6%		1/1/2000	MTM	\$27,986	\$7.80	NA	NA	MTM	NNN
6428 A-2	Vacant	2,000		1.5%								
6430 A-3	Vacant	1,583		1.2%								
6430 A-4	Vacant	1,418		1.0%								
6436 A-6	Vacant	1,083		0.8%								
6434	Vacant	1,752		1.3%								
6470 C-7	Verizon	3,500	2.6%		12/5/2009	11/30/2029	\$85,890	\$24.60	At renewal	\$25.50	1 x 5	NNN
6448 B-3	Vacant	4,698		3.4%								
6450 B-4	Vacant	7,200		5.3%								
6452 B-5	Name Brand, Inc	15,000	11.0%		11/1/2024	10/31/2029	\$162,000	\$10.80	At renewal	Market rate	2 x 5	NNN
6476 B-6	Vacant	9,600		2.6%								
6486	Carpet Vanilla	5,900	3.9%		4/18/2014	8/31/2029	\$62,074	\$10.56	At renewal	Market rate	1 x 5	NNN
6488 B-8	Panang Thai Restaurant	2,010	1.5%		1/1/2017	12/31/2026	\$33,138	\$16.44	At renewal	Market rate	2 x 5	NNN
6500-D	Shipley's Do-Nut	2,000	1.5%		3/6/2024	1/31/2034	\$64,800	\$32.40	3/6/2029	\$35.75	2 x 5 (10% increase every 5 years)	NNN
6500	LaMichuacana Meat Market	13,200	9.7%		10/1/2025	9/30/2035	\$112,200	\$8.50	9/30/2026	\$8.60	2 x 5 (FMV)	NNN
									9/30/2027	\$10.00		
									9/30/2028	\$10.20		
									9/30/2029	\$10.40		
									9/30/2030	\$11.00		
									9/30/2031	\$11.20		
									9/30/2032	\$11.40		
									9/30/2033	\$11.80		
									9/30/2034	\$12.00		
6500	Vacant	360		0.3%								
6578 E-1	Hertz	1,240	0.9%		12/5/2005	7/31/2029	\$23,940	\$19.32	At renewal	Market rate	2 x 5	NNN
6568 E-3	Tony's Automotive	5,040	3.7%		10/1/2021	2/28/2027	\$60,480	\$12.00	NA	NA	NA	NNN
6568	Boys Scouts of America	2,321	1.7%		1/1/2026	12/31/2026	\$32,587	\$14.04	At renewal	Market rate	NA	NNN
6568 E-3	Vacant	9,520		2.6%								
6564	Vacant	2,266		1.7%								
6564 E-4	Vacant	880		0.6%								
6562 E-6	Houston Hair Studio	1,600	1.2%		2/1/1997	2/28/2027	\$19,200	\$12.00	At renewal	Market rate	1 x 5	NNN
6560 F-1	Red Zone Training Center	9,360	6.9%		6/1/2022	10/31/2027	\$46,800	\$5.04	At renewal	Marketrate	3 x 5	NNN
6536 G-1/2/3	Vacant	12,000		8.8%								
13029 B-3	Vacant	1,336		1.0%								
13029 D-3	Vacant	5,240		3.8%								
13027 A-2	Vacant	908		0.7%								
13027 B-2	Vacant	1,840		1.4%								
13027 C-2	Vacant	420		0.3%								
13027 D-2	Vacant	432		0.3%								
13027 F-2	Vacant	2,259		1.7%								
13025 A1/B1	Vacant	5,184		3.8%								
Total/Average		136,738	47.4%	52.6%			\$731,095	\$11.30				

Cash Flow

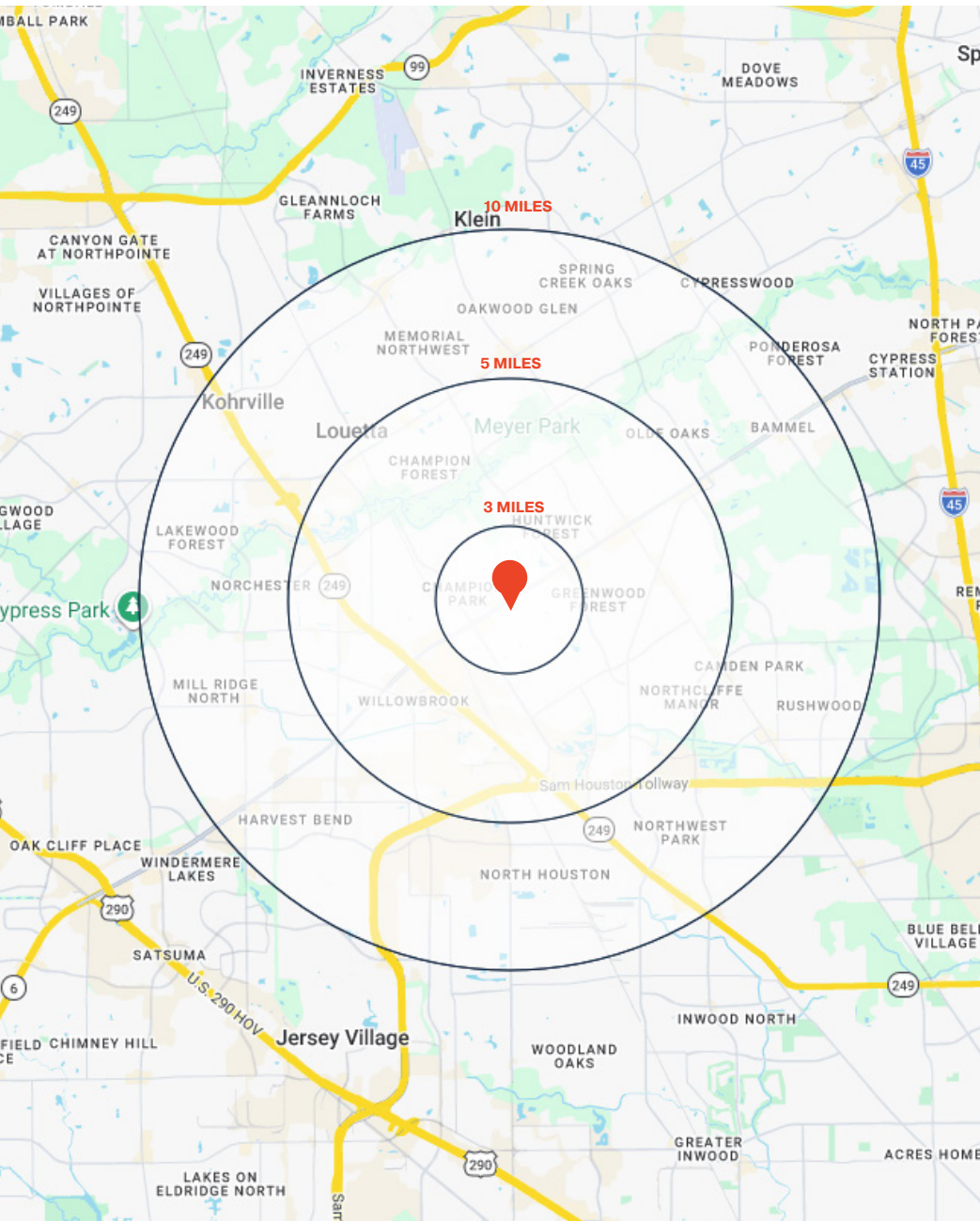
	2026 Year 1	2027 Year 2	2028 Year 3	2029 Year 4	2030 Year 5	2031 Year 6	2032 Year 7	2033 Year 8	2034 Year 9	2035 Year 10
INCOME										
Potential Gross Rent (PGR)	\$731,833	\$916,458	\$1,063,886	\$1,216,235	\$1,373,701	\$1,536,496	\$1,704,837	\$1,878,960	\$2,059,110	\$2,245,550
Occupied Tenant Rent	\$731,833	\$743,708	\$756,392	\$769,953	\$784,470	\$800,024	\$816,710	\$834,626	\$853,885	\$874,605
Lease-Up/Absorption Income	-	\$172,750	\$307,494	\$446,281	\$589,232	\$736,471	\$888,127	\$1,044,333	\$1,205,226	\$1,370,945
Less: Vacancy & Credit Loss	(\$21,955)	(\$27,494)	(\$31,917)	(\$36,487)	(\$41,211)	(\$46,095)	(\$51,145)	(\$56,369)	(\$61,773)	(\$67,367)
Tenant Reimbursements (NNN)	\$269,820	\$276,566	\$283,480	\$290,567	\$297,831	\$305,277	\$312,908	\$320,731	\$328,749	\$336,968
EFFECTIVE GROSS INCOME	\$979,698	\$1,165,529	\$1,315,449	\$1,470,314	\$1,630,321	\$1,795,677	\$1,966,601	\$2,143,322	\$2,326,086	\$2,515,152
OPERATING EXPENSES										
Property Taxes	\$216,287	\$221,694	\$227,236	\$232,917	\$238,740	\$244,709	\$250,826	\$257,097	\$263,524	\$270,112
Insurance	\$60,955	\$62,478	\$64,040	\$65,641	\$67,282	\$68,964	\$70,689	\$72,456	\$74,267	\$76,124
Property Management	\$21,955	\$22,311	\$22,692	\$23,099	\$23,534	\$24,001	\$24,501	\$25,039	\$25,617	\$26,238
CAM	\$246,128	\$252,281	\$258,588	\$265,053	\$271,679	\$278,471	\$285,433	\$292,569	\$299,883	\$307,380
TOTAL OPERATING EXPENSES	\$545,324	\$558,765	\$572,556	\$586,710	\$601,236	\$616,145	\$631,449	\$647,160	\$663,291	\$679,855
NET OPERATING INCOME										
NET OPERATING INCOME	\$434,374	\$606,765	\$742,892	\$883,604	\$1,029,085	\$1,179,532	\$1,335,152	\$1,496,162	\$1,662,795	\$1,835,297

Income Assumptions

Income Assumptions

Market/Re-Leasing Rent Growth Rate	3.0%
Vacancy & Credit Loss (%)	3.0%
Market Rent per SF — Vacant Suites (\$/SF/Yr)	\$12.00
Year 1 — New Leasing of Vacant SF	-
Year 2 — % of Vacant SF Expected to Lease Up	20.0%
Year 3+ Annual Lease-Up Rate (% of original vacant SF)	15.0%

Demographics



Population

	3 MILES	5 MILES	10 MILES
2020 Population	9,170	108,632	304,549
2024 Population	9,625	113,194	311,394
2029 Population Projection	10,246	120,338	329,815
Annual Growth 2020-2024	1.0%	0.8%	0.5%
Annual Growth 2024-2029	1.3%	1.3%	1.2%

Households

2020 Households	3,939	40,321	105,093
2024 Households	4,142	42,011	107,606
2029 Household Projection	4,421	44,760	114,254
Annual Growth 2020-2024	1.0%	1.3%	1.1%
Annual Growth 2024-2029	1.3%	1.3%	1.2%

Household Income

Avg Household Income	\$97,459	\$95,945	\$100,798
Median Household Income	\$66,976	\$71,264	\$76,499

Daytime Employment

Total Employees	7,299	58,502	122,425
Total Businesses	976	7,107	14,634

Houston At A Glance

4th Largest City

Houston is the nation's 4th most populous city and is the 7th largest U.S. metro economy.

The Houston MSA has grown at a 1.7 compound annual growth rate since 2017.

2.4 Million

City Of Houston Residents

7.8 Million

Residents In The Houston MSA

Employment

The major industries in Houston include energy, life sciences, aerospace & aviation, advanced manufacturing, digital technology & innovation, and transportation & logistics. There are 3.4 million jobs in the Houston MSA. Health, Education, and Business & Professional Services account for nearly 1 in 4 of the region's jobs. The goods-producing sector accounts for nearly 1 in 6 of the region's jobs. Houston is home to 70,450 engineers and architects, and approximately 238,000 people work in the region's manufacturing industry. 42 of the 113 publicly-traded oil and gas exploration firms are based in Houston.

3.5 Million

Jobs in the Houston MSA

26

Fortune 500 Companies

World's Largest Medical Complex

The Texas Medical Center is the world's largest medical complex. It comprises 50 Million developed square feet, and there is currently \$3 Billion in construction projects underway. The Texas Medical Center employs 120,000+ workers and has 10 million annual patient visits.

50 Million

Developed Square Feet

\$3 Billion

In Construction Projects Underway

Population Growth

The Houston Metro population growth surged in 2022, ranking second among the nation's major metros in population growth. Nearly 125,000 residents were added in 2022, up from the 75,000 added in 2021. The surge in population contributed to last year's robust job growth and strong demand for housing. Houston added 176,000 jobs, closed on 108,000 single-family homes, absorbed 21,000 apartment units, and delivered 280,000 new vehicles over the period covered by the Census data, i.e., the 12 months ending July 1, 2022. Houston performed exceptionally well last year considering nine of the nation's 20 largest metros shed population and five added fewer than 20,000 residents.

Source: Greater Houston Partnership

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